

**Time:** 5 minutes**Outcome:** Analyze Short-Run Cost Curves: Relationships & Shifts.**Difficulty:** ●●○ Intermediate

Short-Run Cost Curves: Relationships & Shifts



THE CORE IDEA

Fixed costs affect average fixed cost (AFC) and average total cost (ATC). Variable-input costs affect average variable cost (AVC), ATC, and marginal cost (MC). A higher fixed cost alone raises ATC but leaves AVC and MC unchanged.



HOW TO RECOGNIZE IT

- A higher lease payment changes fixed cost at every output.
- Higher variable-input prices change the cost of producing additional units.
- A technology improvement can reduce variable inputs needed at each output.

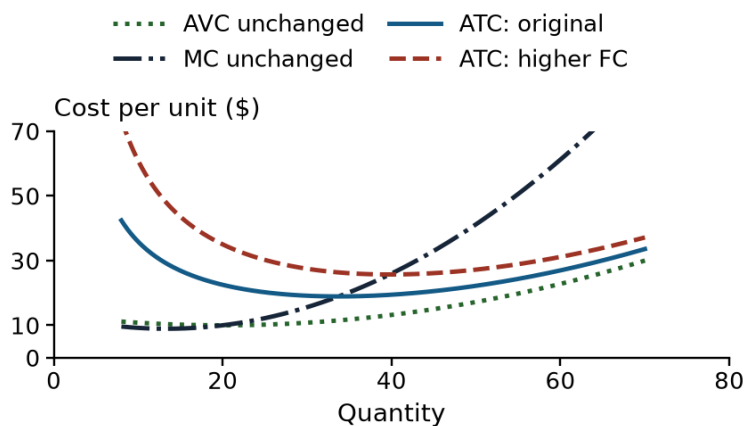


WATCH OUT

A common mistake is to mix fixed and variable shifts. A fixed-cost increase raises fixed cost per unit and total cost per unit but leaves variable and marginal cost unchanged.



WORKED EXAMPLE: SHIFTING SHORT-RUN COST CURVES



Suppose the firm signs a more expensive lease while output and variable input prices are unchanged. The higher fixed cost raises average fixed cost and therefore shifts ATC upward. AVC and MC remain in the positions shown because neither depends on fixed cost. The production decision at the margin is unchanged.



CHECK YOURSELF

With fixed cost unchanged, why does the ATC-AVC gap shrink as output rises? How is that different from an increase in the lease payment at a fixed output?

**READY?**

Return to the game and master this concept.